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DELICATE BALANCE between lemon juice and water is what makes good lemonade. Too much lemon and the drink turns sour. Excess water makes it bland. The country's largest car-maker Maruti Suzuki's reinvention strategy is much like perfecting this lemonade, with Bharat and India as the two key ingredients. On one hand, the company is obligated to serve its core customer base, the entry-level car buyer. On the other, it can't afford to ignore the high-margin SUV segment that has almost doubled in the past five years.

The country today is divided into two distinct markets, says Maruti Suzuki India's 87-year-old Chairman R.C. Bhargava: "There's a Bharat, which buys a two-wheeler because a car is too expensive. And then there's an India whose buying capacity matches any other part of the developed world. The only way forward is to cater to the transportation needs of both."

And Bhargava, who quit the IAS in 1982 to work with Maruti as a director, knows how to turn lemon into lemonade. Soon after the company's first car, Maruti 800, was launched, Suzuki launched its Asian bestseller pickup truck Carry (called Pickup in India), expecting it to account for at least 20 per cent of total production. But it couldn't compete with much cheaper diesel vehicles. In his 2013 book, *The Maruti Story: How a Public Sector Company Put India on Wheels*, Bhargava calls it a serious error of judgement. "This experience was a reminder to Maruti on the importance of correctly assessing the behaviour of Indian customers, and the dangers of transferring experience of other countries to India, without careful examination," he writes.

That lesson stays with Bhargava till date and is probably the reason why he has been famously sceptical of jumping onto the electric vehicle (EV) bandwagon right away. "The Indian market is very different from the markets in Europe, America or Japan. We need to devise our own decarbonisation strategies instead of copy-pasting what works in the West," he says.

Maruti Suzuki has dominated India's automobile space since its inception in 1983, first as Maruti Udyog, a joint venture between the Indian government and Suzuki Motor Corporation (SMC), and then as a subsidiary of Suzuki, after the government divested its

stake in 2003. It has, for decades, boasted an unprecedented—some say unnatural—market share of 50 per cent-plus, making India Suzuki's single-largest market globally, even ahead of its home market, Japan. Maruti contributed nearly 55 per cent to SMC's sales volume in the first nine months of FY22.

And so today, when its share of the Indian market has shrunk to 43 per cent, the company is rethinking its strategy—a rethinking that has been aligned to Prime Minister Narendra Modi's commitment for India to meet a net-zero carbon emissions target by 2070—on the back of alternative fuel technologies such as CNG, hybrid and EVs. The company's recently appointed MD and CEO,

Hisashi Takeuchi, has his task cut out for him: to figure out the company's decarbonisation strategy. The bright-eyed Takeuchi, 58, is eager to be in the driver's seat of Maruti. "As far as Suzuki's global strategy is concerned, EV and hybrid strategy is common for both India and other global markets. One of the things that's unique for India is CNG," he says.

Maruti's focus on CNG is not new. Nine of its 15 models, including Alto, S-Presso, Eeco and WagonR, are available with the CNG option. "For smaller cars, CNG is a very good option and Maruti has always been a company which is primarily concerned with meeting the needs of the Bharat car market. The government

needs to incentivise that more," says Bhargava.

Maruti sold about 235,000 CNG cars in FY22—it has 82 per cent market share—contributing 17 per cent to its total sales and 33 per cent to the sales of the models with CNG variants. Yet, there's a booking backlog of 120,000 units for CNG variants due to the semiconductor chip shortage. It is now looking to produce

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PER CENT

MARUTI'S SHARE OF THE CNG CAR MARKET IN FY2021-22, WHEN IT SOLD 235,000 UNITS

82

PER CENT

THE SHARE OF THE EV MARKET TATA MOTORS HOLDS. MARUTI'S FIRST EV IS EXPECTED IN 2025